TEACHER GUIDE

High school business

No topic



Students run a car dealership in firms of four. Seat each firm together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
8½–9 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What students do

Every student buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal inventory

Final questions

Each student answers 6 final questions. They come from these 10 questions on cash, profit and sales tax.

1. You sell an EV city car to a customer for $11,000. In Indiana the customer pays 7% sales tax on top of the price. How much cash comes into your firm from this sale?
   ✔ **$11,770**

2. This round your firm sold cars to customers for $10,000, $17,000 and $21,000, and sold a Forklift to another dealer for $14,000. How much sales tax does the round's return ask for?
   ✔ **$3,360**

3. Your cash is $100,000 and your firm owes $2,100 of sales tax it has not filed yet. How does this affect the firm's net position?
   ✔ **It is $2,100 lower: unpaid sales tax is a debt and is subtracted**

4. Who pays the 7% sales tax on a car your firm sells to a customer?
   ✔ **The customer pays it on top of the price; your firm collects it and pays it to the Indiana Department of Revenue**

5. You bought a Panel van for $15,000 and sell it to a customer for $18,000. What is your gross profit on the van?
   ✔ **$3,000**

6. Your firm misses the round's sales tax return with $1,800 due. The late charge is 10% of the tax due, at least $5. What happens?
   ✔ **A $180 charge, and the $1,800 is still owed**

7. Cash $40,000, inventory at cost $30,000, investments $10,000, loans $25,000 and unpaid sales tax $1,400. What is the net position?
   ✔ **$53,600**

8. Why can a firm's cash look higher than the money it can really keep?
   ✔ **It holds sales tax collected from customers that belongs to the state until the return is filed**

9. A customer buys two Scooters 125cc at $3,900 each. How much sales tax does the customer pay?
   ✔ **$546**

10. Your firm collected $2,450 of sales tax this round and files the return on time. Cash before filing is $52,000. What is the cash after filing?
    ✔ **$49,550**